

Real Capital Solutions' \$49.5M Atlanta Buy Shows Office Repricing Has a Floor, Not a Ceiling

A 54%-leased tower trades at \$73/sf, revealing where value capital sees a basis it can defend.

The most important number in Real Capital Solutions' \$49.5 million acquisition of 101 Marietta is not the price. It is the basis: roughly \$73 per square foot for a 36-story office tower in downtown Atlanta that was 54 percent leased at closing. That number tells you everything about where office capital is willing to step in. It is not a bet on a quick occupancy recovery.

It is a bet that the building's replacement cost, embedded debt, and prior basis have been reset to a level where downside is limited and upside is optional. The seller, who was not disclosed, is not exiting because downtown Atlanta has no future.

The seller is exiting because the capital required to lease a half-empty tower through a recovery is expensive, patient, and increasingly held by firms that specialize in exactly this trade. Real Capital Solutions is one of those firms. The building sits adjacent to Centennial Yards, the sprawling mixed-use redevelopment that is reshaping the southern edge of downtown. That adjacency is not accidental.

The buyer is underwriting that the neighborhood's trajectory will pull leasing demand upward over time, but the purchase price reflects no premium for that hope. At \$73 per square foot, the basis is low enough to absorb years of carry, capital spending, and leasing downtime. The prior ownership invested more than \$12 million in capital improvements, including lobby renovations, amenity upgrades, and building systems work. That spending did not fail.

It just did not close the leasing gap fast enough to justify the prior owner's hold period or cost of capital. Real Capital Solutions now gets the benefit of those improvements at a fraction of the original basis. This is the pattern that is quietly defining the office market's bottom: value-oriented buyers are not competing for stabilized assets at tight cap rates.

They are buying buildings with leasing risk, functional obsolescence, or occupancy distress, but at prices where the math works even if the recovery takes longer than expected. The bid is not for perfection. It is for a basis that can survive imperfection. The debt markets are watching this closely. A \$73-per-square-foot basis means the loan, if one is placed, will be small relative to replacement cost.

That gives the lender a cushion that does not exist on a building bought at \$200 per square foot with 90 percent occupancy. The lower the basis, the more equity the sponsor has in the deal, and the more time the lender can afford to give. Who benefits from this trade?

Real Capital Solutions gets a downtown Atlanta tower at a price that allows it to compete for tenants on rent, concessions, and capital improvements without needing the market to save it. The seller gets liquidity at a moment when holding a half-empty office tower carries refinancing risk, leasing risk, and the opportunity cost of capital tied up in a slow recovery. Who is exposed?

Owners of similar downtown Atlanta office assets that were bought or refinanced closer to peak pricing. If the comp set for a 54-percent-leased tower is now \$73 per square foot, the implied value of a 70-percent-leased tower in the same submarket has also shifted. The bid has not collapsed. It has repriced to a level that makes sense for the current cost of capital and leasing velocity.

The market should watch what Real Capital Solutions does next. If the firm can move occupancy from 54 percent to 70 percent over the next 24 months, the value creation will be substantial. If leasing remains sluggish, the basis is low enough that the building can still generate a reasonable return through operations and eventual sale. That is the definition of a defensible bid.

This deal is not proof that office is back. It is proof that repriced office can trade. The difference matters because it tells owners that liquidity exists, but only at prices that reflect the market as it is, not as it was.

About Us

Light Tower Group is a commercial real estate capital advisory firm helping owners, developers, and investors structure and source debt, preferred equity, joint venture equity, and other institutional capital solutions.

We work across acquisitions, refinancings, recapitalizations, and development projects, with a focus on clear strategy, credible execution, and capital that fits the deal.

To discuss a financing need, recapitalization, or capital strategy:

ben@lighttowergroup.co

lighttowergroup.co